Mountain Man Brewing Company : Bringing the Brand to Light

<u>Presentation by Team 7</u>

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Qualitative Analysis

SEGMENTATION

Current Market Segment:

- **Demographics:** MMBC has succeeded by focusing on a niche, loyal segment of older blue-collar workers (ages 45-65), primarily men.

Why This Segment Worked:

- **Brand Loyalty:** MMBC's identity as a family-owned regional brewery with a rich history resonates with consumers who value the brand's authenticity and heritage.
- **Product Attributes:** Mountain Man Lager's bitter flavor and high alcohol content appeal to its target demographic. MMBC led the West Virginia lager market for nearly 50 years. Key demographics: 70% male consumers aged 45-65, 60% blue-collar workers. 70% of sales are for off-premise consumption, aligning with industry norms.

TARGETING

Current Target Market:

- **Demographics:** MMBC's primary target has been the loyal base of older, working-class drinkers.
- **Market Trends:** This segment is shrinking as younger generations prefer lighter, healthier options.

New Target Market:

- **Demographics:** Chris's goal should be to expand MMBC's reach by targeting younger (ages 21-35), health-conscious beer consumers.
- **Market Potential:** Younger consumers are driving the growing demand for light, low-calorie beers. In the U.S., light beer sales have been increasing by 4% annually, while traditional premium beers are declining at the same rate. Of light beer consumers, 58% are male and 42% are female, with a significant portion aged 21-35.

POSITIONING

Strong Regional Identity:

- **Heritage:** MMBC positions itself as a regional, family-owned brand symbolizing strength and hard work, resonating with its target market.
- **Cultural Connection:** The brand's association with the rugged, hardworking coal miners of West Virginia has solidified its image as a beer for the tough and resilient.

Brand Values:

- **Authenticity:** MMBC's identity is rooted in its authentic, traditional brewing methods and its status as an independent brewery.
- **Tradition:** The company's long history and consistent quality have built a strong sense of tradition and trust among consumers.

ANALYSIS

Pros	Cons
Taps into the health-conscious millennial market, appealing to consumers seeking low-calorie options.	Risks alienating loyal, traditional customers who associate MMBC with strong, authentic beers.
Allows MMBC to target younger generations while maintaining appeal to traditional consumers by marketing light beer as bold yet healthier.	The light beer market is crowded and competitive, making it harder to stand out.
MMBC can position light beer as "bold but refreshing," staying true to its brand's reputation for strength while meeting new consumer demands.	If MMBC's light beer lacks a unique value proposition, it could struggle to succeed in the competitive market.

Quantitative Analysis

Our goal here is to analyze if the company will be able to breakeven in 2 years or not. If yes, then in which case between the two possible approaches. 📍 Link to the detailed quantitative analysis

Breakeven (without cannibalization) in 2 years

Advertising	750,000
SG&A * 2	1800000
Total Fixed Costs(FC)	**2,550,000**
Barrels to be sold to recover F(	100473
Sales Volume for breakeven	100473
Sales Revenue for breakeven	**9745881**

Estimated sales for 2006 + 2007 = 14560088

Estimated sales > Sales req. for breakeven

Breakeven (with 20% cannibalization + 2% loss in revenue) in 2 years

Advertising	750,000
SG&A * 2	1800000
2006 revenue * 0.22	437226
2007 revenue * 022	341036
Total fixed costs	3,328,262
Barrels to be sold to recover F(	131137
Sales Volume for breakeven	131137
Sales Revenue for breakeven	**12720289**

Estimated sales for 2006+2007 = 14560088

Estimated sales > Sales req. for breakeven

Hence the company will breakeven in both the cases i.e. With or without cannibalism

Recommendations

Launch Light Beer with Protective Strategies to ensure success without sacrificing Brand Loyalty

Marketing

Position Mountain Man Light as an extension, not a replacement, of the brand. Highlight 'retro-cool' elements to appeal to both new and existing consumers with a dual branding strategy that preserves the core product and attracts younger audiences.

Distribution

Secure incremental shelf space to ensure light beer doesn't replace lager and leverage relationships with distributors to promote both products in tandem.

Monitoring

Track the impact on lager sales closely and adjust pricing, distribution, or marketing if cannibalization exceeds